

Association Registration Act, 1977

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 5

Institution Registration Act, 2034 (1977)

Royal Seal and Publication Date

2034.05.27

Amending Acts

1. Judicial Administration Reform (Fourth Amendment) Act, 2043 (1986) 2043.07.24
2. Judicial Administration Act, 2048 (1991) 2048.02.16
3. Act to Amend Some Nepal Acts, 2048 (1991) 2048.09.18
4. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009) 2066.01.07
5. Act to Amend Some Nepal Acts, 2072 (2015) 2072.11.13

Act No. 10 of the Year 2034 (1977)

An Act Made to Provide for the Establishment and Registration of Institutions

Preamble: Whereas it is desirable to make provision for the establishment and registration of social, religious, literary, cultural, scientific, educational, intellectual, physical, economic, professional, and charitable institutions;

Now, therefore, His Majesty King Birendra Bir Bikram Shah Dev has, with the advice and consent of the National Panchayat, enacted this Act. 1. Short Title, Extent, and Commencement: (1) This Act may be called the "Institution Registration Act, 2034 (1977)".

(2) This Act extends to the whole of Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009).

(3) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Institution" means an association, organization, club, circle, council, study center, etc., established with the objective of developing and expanding social, religious, literary, cultural, scientific, educational, intellectual, ideological, physical, economic, professional, and charitable activities, and the said word also includes a friendship association.

(b) "Local Authority" means the authority designated by the Government of Nepal by publishing a notice in the Nepal Gazette, and where no such authority is designated, it means the Chief District Officer.

(c) "Management Committee" means the management committee constituted according to the bylaws of the institution.

(d) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act. 3. Prohibition on Opening an Institution Without Registration: No person shall establish an institution without

registering it under this Act. 4.

Registration of an Institution: (1) Any seven or more persons desiring to establish an institution shall submit an application to the Local Authority, along with a copy of the institution's bylaws and the prescribed fee, specifying the following details relating to the institution:- (a) Name of the institution, (b) Objectives, (c) Names, addresses, and occupations of the members of the Management Committee, (d) Financial resources, (e) Address of the office. (2) Upon receipt of an application pursuant to sub-section (1), the Local Authority shall, after making necessary inquiries, register the institution and issue a certificate of registration if deemed appropriate for registration. (3) If the Local Authority decides not to register an institution, it shall notify the applicant thereof, and the applicant may, within thirty-five days from the date of receipt of such notice, appeal against such decision to Amended by the Act to Amend Some Nepal Acts, 2048 (1991).the authority designated by the Government of Nepal. (4) Upon receipt of an appeal pursuant to sub-section (3), Amended by the Act to Amend Some Nepal Acts, 2048 (1991).the authority designated by the Government of Nepal may, after making necessary inquiries, order the Local Authority to register such institution if it deems it reasonable to do so, and upon such order, the Local Authority shall register the institution. (5) The format, validity period, renewal, and renewal fee of the certificate issued under this section shall be as prescribed. 5. **Deemed to be a Body Corporate:** (1) Every institution registered under this Act shall be a body corporate with perpetual succession, self-governed and organized. It shall have a separate seal for all its acts. (2) The institution may, like an individual, acquire, use, and sell movable and immovable property. (3) The institution may, like an individual, sue and be sued in its own name. 6.

Property of the Institution: (1) If any person, including a member or employee of the institution, misuses, occupies, or withholds any property of the institution contrary to its bylaws, the Local Authority may seize such property from the person misusing, occupying, or withholding it and return it to the institution. (2) A person aggrieved by the action taken by the Local Authority to return the property of the institution pursuant to sub-section (1) may Amended by the Act to Amend Some Nepal Acts, 2072 (2015).appeal to the District Court. (3) If any person, including a member or employee of the institution, commits any offense or breach against any property, document, or reputation of the institution, the institution, any member thereof, or the Local Authority may initiate legal proceedings under the prevailing law. 7. **Institutions Established Without Prior Registration to Register:** Institutions established without registration under the law then in force prior to the commencement of this Act shall also register under this Act within three months from the date of commencement of this Act. 8. **Amendment of Objectives of the Institution:** (1) If it appears necessary to amend the objectives of the institution or if it is deemed appropriate to merge the institution with another institution, the Management Committee of the institution shall prepare a proposal to that effect and convene a special meeting in accordance with the institution's bylaws to discuss the proposal. (2) If two-thirds of the total number of members present at the special meeting support the proposal, the proposal shall be deemed to have been passed by the special meeting. Provided that, prior approval of the Local Authority must be obtained to implement the proposal. 9. **Submission of Accounts Statement:** The Management Committee shall submit the accounts statement of its institution, along with the auditor's report, to the Local Authority every year. 10.

Audit of Accounts: (1) The Local Authority may, if deemed necessary, have the accounts of the institution audited by any officer appointed by it. (2) For the audit conducted pursuant to sub-section (1), the Local Authority may levy and collect a fee, determined by it, not exceeding three percent of the institution's cash balance revealed by the audit. (3) It shall be the duty of the office bearers, members, and employees of the institution to provide the details and documents requested or to answer the questions asked by the auditing

officer. (4) The auditing officer shall submit the audit report to the Local Authority within the time limit prescribed by the Local Authority, and if, based on the report, the Local Authority finds that any property of the institution has been misappropriated, damaged, or misused by any office bearer, member, or employee of the institution, it may initiate proceedings under the prevailing law to recover such loss or damage from such office bearer, member, or employee. Provided that, if the act constitutes an offense punishable under the prevailing law, proceedings shall be initiated under the prevailing law. 11. Power to Give Directions: The Government of Nepal may give necessary directions to institutions, and it shall be the duty of the concerned institution to comply with such directions. 12.

Penalties: (1) If any person establishes an institution without registration pursuant to Section 3 or operates an institution without registration pursuant to Section 7, the Local Authority may impose a fine of up to two thousand rupees on each member of the Management Committee of such institution. (2) If the accounts statement is not submitted pursuant to Section 9, the Local Authority may impose a fine of up to five hundred rupees on each member of the Management Committee: Provided that, if any member can submit satisfactory evidence that he/she made every possible effort to prevent the violation of Section 9, such member shall not be punished. (3) If any office bearer, member, or employee fails to provide the details and documents requested or to answer the questions asked by the auditing officer pursuant to sub-section (3) of Section 10, the Local Authority may impose a fine of up to five hundred rupees on such office bearer, member, or employee. (4) If the objectives of an institution are amended or it is merged with another institution without the approval of the Local Authority pursuant to Section 8, or if an institution acts contrary to its objectives, or fails to comply with the directions given by the Government of Nepal, the Local Authority may suspend or cancel the registration of such institution. (5) Deleted by the Act to Amend Some Nepal Acts, 2048 (1991). 13. Appeal: An appeal against the final decision made by the Local Authority pursuant to Section 12 shall lie to the Amended by the Judicial Administration Reform (Fourth Amendment) Act, 2043 (1986). District Court within thirty-five days. 14. Dissolution of an Institution and Its Consequences: (1) If an institution is dissolved because it is unable to carry out its activities according to its bylaws or for any other reason, the entire property of such institution shall vest in the Government of Nepal. (2) In respect of the liabilities of an institution dissolved pursuant to sub-section (1), the Government of Nepal shall bear such liabilities to the extent covered by the property of the institution. 15. Power to Make Rules: The Government of Nepal may make rules for the purpose of implementing the objectives of this Act. 16. Registration or Establishment Required Under Other Nepal Acts: Where a separate provision is made in another Nepal Act regarding the registration or establishment of an institution, notwithstanding anything else written in this Act, such institution shall be registered or established under that Act. 17.